



Possible goals are listed in the next concentric circle. The third circle lists risks confronting those goals. The final circle shows available income tools for building a retirement income plan. Much of what follows in this chapter is about fleshing out the details of this exhibit.

Financial Goals for Retirement

It is important to clarify the goals for a retirement income plan, as different income tools are better suited for different goals. Retirement plans should be customized to each person's specific circumstances. Each retiree should seek to meet specific financial goals in a way that best manages the wide variety of risks that threaten those goals. The primary financial goal for most retirees relates to their spending: maximize spending power (lifestyle) in such a way that spending can remain consistent and sustainable without any drastic reductions, no matter how long the retirement lasts (longevity). Other important goals may include leaving assets for subsequent generations